GROUP: BAILIFFS

COURSE: ECON 408

## ECONOMIC TRANSITION OF WESTERN EUROPE

# FEUDALISM TO CAPITALISM

## & MERCANTILISM


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# The Economic Transition of Western Europe: Feudalism to Capitalism & Mercantilism

## Precapitalist West-European Economy and Transition to Capitalism

During the mid 18th century **Karl Marx** gave the *'Theory of Stages of Economic Development'*, which complemented his theory of *'Class Struggles'*. Marx's theories can be seen played out by the economic transitions of western europe up until the 19th century, and eastern europe up until the 1990s. Karl Marx believed every economy will go through five stages of economic transition and socialism is the ultimate goal of every economy. Marx described the stages as such, *1. Primitive Communism, 2. Slave economy, 3. Feudalism, 4. Capitalism* and finally the end goal *5. Socialism or Communism.* The economic transition of western europe during the 18th century shows the transition from a long traditional feudal economy to a capitalist one- just as Marx had described. A breif  explanation of capitalism and feudalism is needed before jumping on the transition period. **Capitalism** is a social mode of production based on private ownership of the means of production and the exploitation of wage workers. A capitalist society is expected to be industrial. On the other hand, **Feudalism** was created by a social hierarchy known as the feudal system. Feudalism originated in the Western Europe during the middle ages and lasted till the industrial revolution in the 18th century. It developed as a result of the collapse of the Roman empire and the invasion of the Germanic tribes.

### A. The Social Structure of Feudalism in Europe and Other Parts of the World

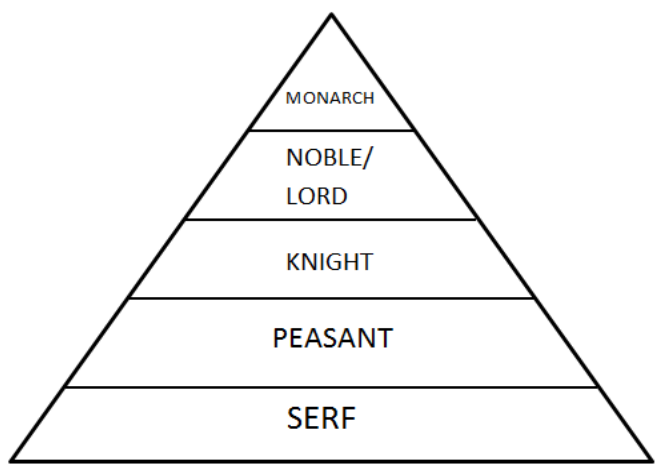
The basis of feudalism was the social hierarchy of the society. The whole system operated on the notion of giving service in return for protection up the heirarchy. During the Roman Empire there were slaves who didn't even have basic human rights. In the feudal system, at the bottom of the hierarchy we find serfs and peasants instead of slaves. Feudalism is often considered to only have originated in western europe but other parts of the world has also experienced it.

## A.1 Feudalism in Europe

Feudalism in Europe emerged during the Early Middle Ages and lasted until the late medieval period. It was a complex system that developed as a response to the need for social order, protection, and economic stability during a time of political fragmentation and instability. The origins of feudalism can be traced back to the decline of the Roman Empire and the subsequent invasions and migrations by various groups, including the Vikings, Magyars, and Muslims. As central authority weakened, local leaders and military commanders began to provide protection to their communities in exchange for loyalty and service. Land became a central resource in this system, and it was granted by a higher authority (usually a monarch or lord) to vassals in exchange for military support and other services. During the feudal period, kings and monarchs held authority over vast territories, but their control was often limited by the power of local nobles and lords. These nobles controlled their own territories and established a system of vassalage, where lesser nobles and knights pledged loyalty and military aid in exchange for land and protection.

In feudalism, the hierarchy was organized in a pyramid-like structure with different social classes:

1. **Monarch/King/Queen:** At the top of the hierarchy was the monarch, who held the ultimate authority over the land and its people. They granted land, known as fiefs, to nobles in exchange for loyalty and military service.




2. **Nobles/Lords:** Below the monarch were the nobles or lords. They were given land by the monarch and held significant power within their territories. In return for the land, they provided military service, advice, and support to the monarch.
3. **Vassals:** Vassals were noble individuals who swore loyalty to a higher-ranking noble or lord. They were

granted smaller portions of land in exchange for providing military assistance and other forms of service to their superior.

4. **Knights:** Knights were skilled warriors who served as vassals to nobles or lords. They were granted land and protection in exchange for their military service and often played a role in defending the realm.
5. **Serfs/Peasants:** Serfs were at the bottom of the hierarchy. They were tied to the land and were obligated to work on the lord's estate. In return, they received protection and the right to live on the land, though they had limited personal freedoms.
6. **Clergy:** The Church also played a significant role in feudal society. Clergy members, such as priests, monks, and bishops, had spiritual authority and often held land granted by the monarch or nobles. This hierarchical structure formed the basis of feudal society, with obligations and services flowing upwards and protection and support flowing downwards. It was characterized by personal relationships, mutual obligations, and the exchange of land for loyalty and services.

The hierarchical structure of feudalism was marked by a series of reciprocal relationships. A vassal would swear an oath of fealty to their lord, promising to serve and protect them. In return, the lord granted the vassal land, known as a **fief**. This land was typically worked by serfs, who were peasants tied to the land and obligated to provide labor and produce to the lord in exchange for protection. Feudalism reached its peak during the 9th to 12th centuries.

## A.2 Feudalism in Other Parts of the World

Feudalism, or similar systems with hierarchical structures based on land ownership and loyalty, existed in various parts of the world outside of Europe. Here's a brief overview of feudal-like systems in different regions:

1. **Japan:** Feudalism in Japan, known as "*bushi*" or the "*samurai*" class system, developed during the late 12th century and lasted until the mid-19th century. It was characterized by the dominance of the samurai warrior class who pledged loyalty to a **daimyo** (lord) in exchange for land and protection. The emperor

remained the symbolic figurehead, while the shogun (military ruler) held the actual power.

2. **China:** While not strictly feudal, China had similar systems throughout its history. During the *Zhou Dynasty (1046–256 BCE)*, a feudal-like structure emerged with regional lords ruling over territories granted by the central authority. *The Confucian* concept of the "*Mandate of Heaven*" justified the ruler's authority. Later Chinese dynasties also had variations of this system with local landowners wielding significant power.

3. **India:** Feudal-like systems existed in various parts of India's history. During the *Gupta Empire* (4th to 6th centuries), a decentralized system allowed local rulers to exercise authority over their regions. The medieval period saw the rise of regional kingdoms ruled by powerful nobles who controlled land and resources.

4. **Middle East and Islamic Empires:** The Islamic *Caliphates* and empires had socio-economic systems that featured aspects of feudalism. Local rulers held authority over regions, often granted by the central caliph, and in return provided military service and loyalty. However, Islamic law and principles often influenced these structures differently from the European feudal system.

5. **Africa:** In medieval African societies, systems resembling feudalism existed in some regions. In West Africa, for example, there were kingdoms with hierarchical structures where local rulers held power and granted land to vassals in exchange for service.

6. **Pre-Columbian Americas:** Various indigenous societies in the Americas had hierarchical structures with parallels to feudalism. For instance, the Inca Empire had a system of land ownership, labor obligations, and social classes. It's important to note that while these systems shared certain features with European feudalism, they were shaped by unique cultural, religious, and historical contexts. Additionally, the term "feudalism" is debated among historians when applied to these regions due to the differences in its manifestations compared to the European model.

## B.The Catholic Church and Feudalism

The Catholic Church owned vast amounts of land, and its clergy held important positions in society. The Church also had a monopoly on education and literacy. This gave the Church a great deal of influence over the way people thought and behaved.

The Church supported feudalism for a number of reasons. First, it saw feudalism as a way to maintain order and stability in society. Second, the Church benefited financially from feudalism. The Church received tithes from the serfs, and it also owned many of the manors that were granted to vassals. Third, the Church saw feudalism as a way to spread its influence. The Church established monasteries and churches throughout Europe, and these institutions helped to spread Christian beliefs and values.

1. **The Role of the Church:** The Church provided a moral framework that justified the hierarchical structure of feudalism. Religious teachings promoted concepts such as obedience, loyalty, and duty, which were integral to the feudal system. The Church also contributed to the consolidation of power by mediating conflicts between lords and vassals, thus maintaining a semblance of stability within the feudal society.

2. **Monasticism and Land Ownership:** Monasteries were significant landowners during the feudal era, and their economic and political influence intertwined with religious beliefs. Monastic communities cultivated lands and provided services to the surrounding areas, reinforcing the feudal structure through their role as both religious centers and feudal landlords. This dual role further blurred the lines between religion and feudalism.

3. **Reference to Religious Texts:** Religious texts, such as the Bible, were interpreted to support feudal principles. Passages emphasizing servitude and submission were used to justify the hierarchical nature of feudal relationships. The Church's endorsement of these interpretations reinforced the power dynamics inherent in feudalism.

4. **Crisis and Religious Impact:** During times of crisis, the Church played a unifying role by providing spiritual guidance and maintaining social order. Religious ceremonies and rituals helped legitimize the authority of feudal rulers and provided a sense of continuity during turbulent times.

### B.2 The Religious Ideals of Feudalism

The religious ideals of feudalism were based on the Christian concept of hierarchy. The Church taught that there was a natural order to the world, and that people should be content with their place in that order. The serfs were at the bottom of the hierarchy, followed by the knights and freemen. The lords were at the top of the hierarchy, and they were seen as God's representatives on Earth.

The religious ideals of feudalism also emphasized the importance of loyalty, obedience, and honor. The vassals were expected to be loyal to their lords, and the lords were expected to be just and merciful to their vassals. The Church also taught that it was important to defend the Church and the Christian faith. This led to the Crusades, which were a series of wars fought by Christians against Muslims in the Middle East.

The religious influence of feudalism was significant. The Church helped to shape the development of feudalism, and it also helped to maintain the system for centuries. The religious ideals of feudalism emphasized loyalty, obedience, and honor, and these ideals helped to hold society together during a time of great change.

## C. Agricultural Revolution

During the feudalism era of Western Europe, there were two main agricultural revolutions: the First Agricultural Revolution (circa 9th-12th century) and the Second Agricultural Revolution (circa 17th-19th century). The first revolution involved the expansion of cultivation, introduction of new crops, and better plowing techniques. The second revolution saw advancements in farming technology, crop rotation, and enclosure movements that led to increased agricultural productivity. These changes played a crucial role in shaping the economic and social landscape of feudal Europe.

### C.1 First Agricultural Revolution (9th-12th century):

a. **Expansion and Innovations:** During this period, there was a gradual expansion of agricultural activities across previously unused lands, including forests and marshes.

b. **New Crops:** New crops such as beans, peas, oats, and rye were introduced, providing greater variety in diets and improving overall nutrition.
c. **Plowing Techniques:** Improved plowing techniques, such as the use of heavy wheeled plows, helped in tilling the soil more effectively, leading to better crop yields.
d. **Three-Field System:** The adoption of a three-field system of crop rotation, where one field was left fallow each year, helped in maintaining soil fertility and increasing overall productivity.

**C.2 Second Agricultural Revolution (17th-19th century):**

a. **Enclosure Movements:** Common lands were enclosed and consolidated, leading to larger, more efficient farming units. This practice enabled landowners to experiment with new farming methods and increase efficiency.
b. **Crop Rotation and Selective Breeding:** Crop rotation techniques were further refined, contributing to improved soil fertility and reduced reliance on fallow periods. Selective breeding of livestock led to better breeds for specific purposes, such as heavier work animals or improved meat production.
c. **Advancements in Farming Technology:** Innovations like the seed drill (Jethro Tull, 1701) allowed for more precise planting of seeds, increasing crop yields. Improvements in tools, such as the iron plow, also boosted productivity.
d. **Fertilizer Use:** The use of manure and other natural fertilizers became more widespread, enhancing soil fertility and crop growth.
e. **Increased Productivity:** These changes collectively led to significant increases in agricultural productivity, which in turn allowed for population growth and urbanization.

During feudalism, this agricultural revolution contributed significantly to societal changes. They played a critical role in supporting growing populations, expanding economies.The innovations and practices developed during these periods laid the groundwork for the subsequent transformations in agriculture and the eventual transition to more modern agricultural systems.

## D.Trade and Commerce

During feudalism in western Europe, trade and commerce were limited due to the decentralized and agrarian nature of the feudal system. The economy was primarily based on agriculture and self-sufficiency within manors. Long-distance trade was challenging due to lack of infrastructure, poor transportation, and the focus on local production. Towns did emerge as centers of trade, often around castles or religious institutions, but trade routes were limited and markets were relatively small-scale. The manorial system and serfdom restricted the movement of labor and resources, further impeding significant economic growth and trade expansion.

Trade during feudal Europe was often restricted by various factors:

**1. Manorial System:** The manorial system tied serfs and peasants to the land they worked on, limiting their ability to engage in long-distance trade.

**2. Lack of Infrastructure:** Poor road networks and limited transportation options hindered the movement of goods over long distances.

**3. Local Economies:** Feudal economies were largely localized, with self-sufficient manors producing most of what they needed, reducing the reliance on external trade.

**4. Tolls and Taxes:** Feudal lords and local authorities often imposed tolls, taxes, and tariffs on goods passing through their territories, which could discourage trade.

**5. Guild System:** The guilds controlled and regulated trade within cities. Entry into guilds was restricted, and they often had control over production methods and prices.

**6. Monopoly Power:** Some feudal lords had monopolistic control over certain goods or trade routes, giving them the power to restrict trade for their own gain.

**7. Insecurity:** Frequent conflicts, banditry, and lack of security on trade routes made long-distance trade risky.

**8. Religious Factors:** Religious holidays and customs also affected trade, as certain days were considered sacred and trading was prohibited.

**9. Lack of Currency Standardization:** Variability in currency types and values across different regions made trade more complicated.

**10. Political Fragmentation:** Europe was divided into numerous small kingdoms and territories, each with its own rules and regulations, making cross-border trade difficult.

## E. Urbanization

Urbanization during medieval Europe's feudal system was a gradual process influenced by several factors. Towns began to emerge as centers of trade, crafts, and governance, often near castles, monasteries, or important trade routes. These towns attracted people seeking economic opportunities and protection. As trade and commerce slowly increased, urban areas grew in importance.

The growth of towns was also driven by the decline of the manorial system. As feudalism evolved, some serfs were able to gain freedom and move to towns, seeking better economic prospects and escaping the constraints of rural life. Additionally, the rise of a merchant class led to the establishment of trade networks, allowing goods to flow between towns and even across borders.

The formation of guilds played a crucial role in urbanization. Guilds were associations of craftsmen and merchants that regulated and protected their members' interests. They provided training, quality control, and a sense of community, contributing to the growth of skilled labor and trade expertise within towns.

Over time, the concentration of people in urban areas led to the development of more advanced infrastructure, such as markets, streets, bridges, and eventually walls for protection. As these towns grew in size and importance, they began to challenge the power of feudal lords, contributing to the gradual shift toward more centralized forms of governance.

In summary, urbanization during medieval Europe's feudal system was driven by factors such as **trade, the decline of serfdom, the rise of guilds, and the desire for economic opportunities.** These factors collectively contributed to the growth of towns and the emergence of a more complex urban society within the feudal framework.

## F. Advancement of Science and Industrial Revolution

The intellectual awakening of the 16$^{th}$ century popularly known as the "*Renaissance*" in history, fostered scientific progress that amplified trade and commerce as well as the manufacturing industries. As trade and commerce thrived and expanded, the need for more manufactured goods and greater reliability to supply led to increasing control of the productive process by the merchant-capitalist. By the sixteenth century, the handicraft type of industry, in which the craftsmen owned his workshop, tools and raw materials and functioned independently, had been largely replaced in the exporting industries by the *putting-out system*. This happened in two ways,

1. Some craftsmen became master and wealthy and other craftsmen were deprived of means of production and became wage workers.
2. At first, merchants played the role of middleman in exchange of commodities. Then they become buyers and buy the commodities produced and resell them at a more distant market for profits and used to lend money and materials to craftsmen and required them to make specific items for a certain payment. As a result, craftsmen finally become wage workers and the merchants become capitalist and industrialists.

The textile industries were among the first in which the putting out system developed. The putting out system also hitted the economic self-sufficiency of the feudal manor. Agriculture had to become a capitalistic venture in which workers would sell their labor power to capitalists, and capitalists would buy labor only if they expected to make a profit in this process

Some innovations that contributed to the industrial revolution are-

| Year | Innovation | Application |
|---|---|---|
| 1709 | Coke smelting process | Iron and steel industries |
| 1733 | Flying shuttle | Textile |
| 1761 | Manchester Worsley canal | Water transport |
| 1764 | Spinning jenny | Textile |
| 1769 | Steam engine | All industries |
| 1776 | Introduction for four course rotation of crops | Agriculture |
| 1776 | Steam blast for smelting iron with coke | Iron and steel industries |
| 1779 | The spinning mille | Textile |
| 1785 | Power loom | Textile |

The accumulation of scientific knowledge challenged some aspects of feudalism by encouraging the growth of urban centers, trade, and a more diversified economy. The rise of a merchant class and the increased economic importance of towns challenged the traditional feudal hierarchy. This gradual shift led to increased economic independence among towns and cities, weakening the strict control of feudal lords over economic activities. While these advancements influenced the feudal economy, it's important to note that the feudal system's structure, with its focus on land ownership, hierarchy, and obligations, remained largely intact. The impact of scientific advancements was gradual and uneven, with changes more pronounced in urban centers and among emerging merchant classes. The feudal economy was not completely transformed by scientific progress, but rather saw incremental changes that laid the groundwork for economic development in later periods.

## G. Social Reforms & Revolutions:

The history of social reforms and revolutions in European feudalism is quite extensive. During the Middle Ages, feudal societies were characterized by a hierarchical structure with monarchs, nobles, and peasants. Over time, various movements and events led to changes in this system:

1. **Magna Carta (1215):**
   The Magna Carta, though primarily focused on the rights of nobles against the monarchy, laid the groundwork for the concept of legal rights and limitations on the power of rulers.

2. **Cistercian Monastic Reforms:**
   The Cistercian monastic order emphasized simplicity and self-sufficiency. Their reforms influenced other religious institutions and aspects of society.

3. **Crusades:**
   While not social reforms per se, the Crusades brought back knowledge, trade goods, and cultural influences from the East, contributing to the expansion of Western European horizons.

4. **Peasant Revolts:**
   Periodic peasant uprisings, such as the Jacquerie in France and the Peasants' Revolt in England, highlighted the dissatisfaction of the lower classes and occasionally resulted in concessions from rulers.

5. **Legal Changes:**
   Various legal reforms aimed at codifying customary laws, providing some level of protection for peasants and commoners.

6. **Enclosure Acts**:
   In England, the Enclosure Acts of the 16th to 19th centuries allowed landowners to enclose and consolidate their lands, often at the expense of smallholders. This process led to the privatization of common lands and the displacement of many peasants, who were now forced to seek wage labor in emerging industries.

7. **Rise of Vernacular Literature:**
   The development of literature in local languages, rather than Latin, made literature and knowledge more accessible to a broader audience.

8. **The Renaissance:**
   The Renaissance (14th to 17th centuries) marked a period of cultural and intellectual revival. It contributed to the weakening of feudal structures by promoting individualism, humanism, and the spread of knowledge.

9. **The Protestant Reformation:**
   In the 16th century, the Protestant Reformation led by figures like Martin Luther challenged the authority of the Catholic Church. This religious movement triggered social and political changes across Europe.

10. **Cathedral Schools and Universities:**
    The establishment of cathedral schools and later universities contributed to the spread of knowledge beyond religious institutions. This fostered intellectual growth and led to the rise of scholasticism and humanism.

11. **The Enlightenment :**
    The 17th and 18th centuries saw the rise of Enlightenment thinkers who championed reason, science, and individual rights. Their ideas laid the foundation for later revolutions.

12. **The French Revolution (1789-1799):**
    One of the most significant revolutions in history, the French Revolution, sought to overthrow the monarchy and establish principles of liberty, equality, and fraternity. It resulted in the rise of radical political movements and significant social changes.

13. **Industrial Revolution:**
    The 18th and 19th centuries witnessed the Industrial Revolution, which transformed economies, labor practices, and living conditions. This period saw the growth of urban centers and the emergence of the working class.

14. **1848 Revolutions:**
    The year 1848 marked a series of revolutionary uprisings across Europe, driven by demands for democratic reforms, workers' rights, and national unity.

## H. Abolishment Of Manorial System

Before a complete system of capitalism could emerge, the forces of capitalist market relations had to invade the rural manor and thus the agricultural base of the feudal society. This was accomplished as a result of the vast increase of population in the new trading cities. Large urban populations depended on the rural countryside for food and raw materials for industries. This need fostered a rural-urban specialization.The lords of the manor began to depend on the cities for manufactured and luxury goods. This need fostered a rural-urban specialization.

The peasants of the manor also found that they could exchange surpluses for money, and the money could be used to purchase commutation of their labor services. This system gave peasants a higher incentive to produce, so they did so, which gradually broke down the traditional ties of the manor.

Again, the lords who needed cash to exchange manufactured goods, began to rent their own lands to peasants farmers rather than have them farmed directly with labor service obligations. In this process, feudal lords become absentee landlords by moving themselves toward the towns.

There are also many other factors for breaking up the manorial system in the late $14^{th}$ and $15^{th}$ centuries. Some important factors are: *The Hundred year's war between France and England (*1337-1453), *Plague of 1348-1349* etc. All these crises created a labor shortage and so the wage of labor rose abruptly.

These facts led the feudal nobility to attempt to revoke the commutations they had granted and to re-establish the labor service obligations of the serfs and peasants. But the outcome is that the clock could not be turned back.

The abolishment of the manorial system was a significant historical process that marked the end of feudalism and the beginning of a more modern social and economic order.
While the manorial system no longer exists in its medieval form, elements of feudalism, such as land ownership disparities, can still be seen in some societies today.

The abolishment of the manorial system was a complex and gradual process that varied from region to region. It ultimately paved the way for the social and economic transformations of the modern era.

## I. The Rise of Capitalism & the Working Class:

Capitalism grew out of feudalism as a result of several factors, such as the expansion of trade and commerce, the growth of population and urbanization, the invention of new technologies and innovations, the emergence of a new social class (the bourgeoisie), and the spread of new ideas and values.The expansion of trade and commerce created new markets and opportunities for profit for merchants and entrepreneurs, who challenged the feudal order and the political power of the aristocracy and the church. Trade also increased the demand for food, clothing, and other goods, which stimulated the development of agriculture, manufacturing, and industry.
The rise of capitalism from feudalism was a transformative journey shaped by key historical events, such as the Industrial Revolution which redefined the relationship between labor and capital. The factory system introduced wage labor, altering the feudal ties between land and labor. Workers became commodities in the industrial landscape. This led to the creation of the *working class*.The new labor force was a group of people without land, tools or any means of production other than their own labor power to sell to the capitalist factory owners.

Throughout the period of industrialization the standard of living of the poor falls precipitously in relative terms. It has seen that, relatively, the poor grew poorer, simply because the rich and middle class grew wealthier who invested capital in railway and spent on the bulging opulent household and on political municipal construction. The working class is not a homogeneous group, but a fragmented one. There are different segments of the working class based on factors such as skill level, education, occupation, industry, race, gender, nationality, etc. These segments face different conditions of work and pay, and may have different interests and identities

Undoubtedly, the working class paid the social cost in terms of the sacrificed consumption that was necessary for industrialization.

Again, because of depression, many workers were uprooted, and they became vagabonds and beggars. Even more attempted to secure subsistence by squatting on marginal unused lands when they could grow crops for their own use. Harshly repressive laws were passed against them

This period also saw the rise of capitalism's various forms, from laissez-faire capitalism emphasizing minimal government intervention to socialist responses critiquing exploitation.

In summary, the rise of capitalism from feudalism was driven by historical forces including the Crusades and the Industrial Revolution. The Crusades' disruption of traditional feudal structures introduced new economic opportunities through trade, finance, and exposure to foreign knowledge. The subsequent Industrial Revolution propelled capitalism's growth by revolutionizing production and labor systems. These interconnected historical moments paved the way for the emergence of modern capitalism, characterized by private ownership, market-driven economies, and a complex interplay between capital and labor.

# Mercantilism

Mercantilism, an economic doctrine that dominated Europe from the 16th to the 18th century, brought about significant shifts in economic thinking and policies. One of its core tenets was the interplay between values and profit within a nation's economic framework. Mercantilist views on values and profit were shaped by the belief that national wealth and power were intrinsically linked, leading to policies and practices aimed at maximizing exports, minimizing imports, and accumulating precious metals. This article delves into the mercantilist perspective on values and profit and its lasting impact on economic thought.

## A. The Mercantilist Approach to Values and Profit

Mercantilism was rooted in the idea that a nation's wealth and power were synonymous, and this guided its stance on values and profit. According to mercantilist thinkers, a prosperous nation was one that amassed precious metals, primarily gold and silver. This approach was motivated by the belief that these metals were essential for maintaining a strong military, funding infrastructure projects, and supporting a growing population. To achieve this, mercantilist policies sought to create a trade surplus by exporting more than importing, thereby accumulating precious metals.

The mercantilist view on profit was closely tied to this accumulation of precious metals. Profit was seen as a means to an end – the acquisition of wealth in the form of gold and silver. Policies were geared towards boosting domestic industries, production, and exports, often at the expense of imports. This approach reflected the belief that the national interest was best served by encouraging homegrown industries that produced goods for export and reduced reliance on foreign imports.

### A.1 Impact on Trade and Values

Mercantilist policies had a significant impact on trade dynamics and societal values. Trade was viewed as a zero-sum game, where one nation's gain came at the expense of another's loss. This perspective fueled protectionist measures such as tariffs, subsidies, and export bans, which aimed to bolster domestic industries and maintain a favorable trade balance.

These policies also influenced societal values. The accumulation of wealth, especially in the form of precious metals, was seen as a marker of success and power. Success was measured not only by the prosperity of individuals but also by the collective wealth of the nation. This emphasis on material accumulation contributed to a culture where profit-seeking and economic growth were celebrated as noble pursuits.

As economic thinking evolved, mercantilism gradually gave way to more nuanced theories such as classical economics and later, modern economics. These theories emphasized the role of innovation, competition, and comparative advantage in driving prosperity. However, the mercantilist legacy can still be seen in certain protectionist policies and nationalist economic sentiments that arise from time to time.

### A.2 Collectivism in Mercantilism

At its core, mercantilism was a collective economic philosophy that prioritized the interests of the nation-state. The primary goal was to amass wealth and precious metals to enhance the nation's power and security. Mercantilist policies often involved state intervention in trade, industry, and commerce to achieve these objectives. This collectivist approach created an environment where the welfare of the nation was paramount, and individual interests were often subordinated to the broader economic and strategic goals.

### A.3 Mercantilism and Individual Economic Pursuits

Despite its collective focus, mercantilism did have implications for individual economic pursuits. The drive to accumulate wealth for the nation led to policies that encouraged domestic production, trade, and entrepreneurship. Individuals who engaged in activities that contributed to exports and the acquisition of precious metals were often rewarded with state support, subsidies, and privileges.

However, individual economic activities were typically channeled toward serving the larger national interest. Individual profit-seeking was viewed as a means to an end – the accumulation of wealth for the nation's benefit. This approach highlighted the subordinate role of individual interests to the broader objectives of strengthening the nation's economic position.

### A.4 Impact on Societal Values

Mercantilist policies and values also influenced societal norms and values. The emphasis on national strength and wealth permeated society, shaping perceptions of success and status. The pursuit of individual profit was celebrated, but it was often intertwined with the idea of contributing to the collective prosperity of the nation.

In this context, individualism was often seen as aligned with the broader goals of the state. Success was measured not only by personal wealth but also by the ability to contribute to the national economy. The prevailing ethos emphasized a harmonious relationship between individual endeavors and the greater good of the nation.

While mercantilism was primarily a collective economic philosophy, its influence on individualism cannot be disregarded. The dynamics between individual economic pursuits and the broader goals of the nation-state shaped societal values and economic behaviors. The mercantilist era serves as a historical backdrop to understand how economic philosophies can impact the balance between individual interests and collective welfare, and how the prevailing economic landscape can influence notions of self-interest and autonomy.

### A.5 The Poor Relief Laws of England

There were several laws decreed in England under the reign of several monarchs. All these laws were not necessarily issued in order to help the poor. Some of these laws were there just to put the people in the society into their places and maintain social order. One of the earliest laws of this kind was issued by King Henry VII known as The **Vagabonds and Beggars Act of 1494**. The law decreed to punish vagabonds and beggars, and force them to work in their locality.
During Tudor times about one third of the population lived in poverty. In 1530 monasteries were closed, this led the poor to suffer more because these monasteries would directly and indirectly help the poor.

In 1531(‘30) The Vagabonds Act allowed only the impotent poor (elderly and the disabled) people to beg under license issued locally, this prevented able bodied people from begging. The **1536 Act for Punishment of Sturdy Vagabonds and Beggars** decreed severe punishment for begging without license and for begging outside allowed issued locality.
King Edward VI passed the **1547 Vagabonds Act** allowing vagabonds to be enslaved for two years, but a weekly charity collection fund for the poor was also installed in each parish. Also, Vagabond children could be claimed as "apprentices" and be held as such until the age of 24 if a boy, or the age of 20 if a girl. This law was repealed in 1550 to install The **Vagabonds Act of 1530**, but continued weekly collection for the poor.
The **1552 Poor act** also reaffirmed previous such laws, aimed at primarily punishing vagabonds but also gave a more concise bureaucracy for collecting alms for the poor.
Again **1555 Poor Act** required beggars to issue badges and point out the misers in the community. There were several more laws issued in this period which were increasingly becoming more progressive. **The Act of 1597** gave a complete code for dealing with the poor by introducing a tax to help them.

The **1601 Poor relief Act** was a set of laws and an amendment to the 1597 act. It was moved towards “correcting” the poor rather than punishing them. This led to a less centralized authority over the poor and made the local parishes responsible to take care of their poor. Some main points are as such-
The lame, impotent, old, blind and others who could not work would be cared for in a poor-house.
Able bodied poor must work at a house of industry, materials would be provided.
The idle poor and vagrants were to be sent to a house of correction or to prison.
Pauper children would become apprentices.

This law was effective at the parish level because the population was small enough for everyone to know everyone else, so nobody could claim the relief without being poor enough or could avoid paying the parish's' poor rate. In 1607 a house of correction was set up in each county under a separate law.

## B. Influence of the Protestant Church:

Protestantism played a significant role in shaping the economic and social landscape of Western feudal Europe, including its transition to mercantilism. Here are some of the key influences of Protestantism on mercantilism:

1. **Work Ethic:** Protestantism, particularly the teachings of John Calvin, emphasized the concept of the "Protestant work ethic." Calvinists believed in the moral duty of hard work, thriftiness, and discipline as signs of God's favor. This work ethic contributed to the growth of a diligent and industrious workforce, which was essential for the development of mercantilist economies.

2. **Asceticism and Wealth:** Protestantism advocated for a simple and ascetic lifestyle. However, it also emphasized that material success could be a sign of God's blessings. This led to a positive view of accumulating wealth through honest labor, which aligned with the accumulation of capital required for mercantile ventures.

3. **Individualism and Entrepreneurship:** Protestantism emphasized the individual's direct relationship with God, bypassing the need for intermediaries like priests. This encouraged a spirit of individualism and self-reliance. It also supported the rise of entrepreneurship, as individuals were encouraged to take initiative in their economic endeavors.

4. **Encouragement of Commerce:** Protestantism's emphasis on honest and ethical behavior extended to the realm of commerce. The notion of fulfilling one's duties and obligations honestly, even in business transactions, supported the growth of trade and commerce. This aligns with the principles of mercantilism, which aimed to increase a nation's wealth through trade.

5. **Freedom of Thought:** The Protestant Reformation challenged the religious monopoly of the Catholic Church. This spirit of questioning and challenging established norms extended beyond religious matters to economic and social practices. It encouraged critical thinking and innovation, which were important for the development of mercantile practices.

6. **Education and Literacy:** Protestantism's emphasis on reading the Bible led to increased literacy rates among its followers. This, in turn, contributed to a more educated and skilled workforce that was better equipped to engage in mercantile activities.

7. **State Support and Regulation:** Protestant rulers often sought to strengthen their power by promoting economic growth and stability. They saw mercantilism as a means to achieve these goals and implemented policies that favored trade, industry, and infrastructure development.

8. **Colonial Ventures:** Some Protestant groups, like the Puritans in England, sought religious freedom by migrating to colonies in North America. These colonies became important trade centers and contributed to the expansion of mercantilism.

In summary, Protestantism's emphasis on hard work, individualism, ethics, and economic success helped create an environment conducive to the growth of mercantilism. These values aligned with the goals of mercantilist economies, which aimed to accumulate wealth, increase trade, and strengthen the nation's economic power.

## C. Monetary system

During feudalism in Europe, the monetary system was not as standardized as it is today. Instead, the economy relied heavily on a system of barter and various forms of local currencies. Coins were used as a medium of exchange, but their value could vary widely based on the metal content and the issuing authority. The feudal lords often controlled the production of coins and had their own mints, leading to a lack of uniformity in coinage. Additionally, land and labor were often more important forms of wealth and exchange than coins.

In mercantilism, the dominant economic theory from the 16th to 18th centuries, the focus was on accumulating wealth for a nation through trade and the balance of trade. The monetary system played a crucial role in this theory. Mercantilists believed that a country's wealth was measured by its reserves of precious metals, such as gold and silver. To maintain a favorable balance of trade, where exports exceeded imports, governments often intervened to control the flow of precious metals. This could involve policies like tariffs and subsidies to promote exports and restrict imports. The idea was to generate a trade surplus and accumulate more gold and silver.
In this context, currency was often tied to the value of precious metals, which provided stability to the monetary system. However, this also limited flexibility in managing the money supply and responding to economic changes. Overall, the monetary system in mercantilism was closely linked to the pursuit of national wealth through trade, and it heavily influenced economic policies of the time.

The monetary policies in mercantilism have included:

- High tariffs, especially on manufactured goods.
- Forbidding colonies to trade with other nations.
- Monopolizing markets with staple ports.
- Banning the export of gold and silver, even for payments.
- Forbidding trade to be carried in foreign ships, as per, for example, the Navigation Acts.
- Subsidies on exports.
- Promoting manufacturing and industry through research or direct subsidies.
- Limiting wages.
- Maximizing the use of domestic resources.
- Restricting domestic consumption through non-tariff barriers to trade.

### C.1. Currency

Currency in feudal Europe was diverse and often lacked the standardization that we see in modern times. Various types of coins and currencies were in circulation, issued by different authorities, including monarchs, lords, and even local communities.

In mercantilism, currency was typically tied to the value of precious metals, especially gold and silver. The prevailing belief was that a nation's wealth was directly connected to the amount of these precious metals it possessed. This led to the practice of using a metallic standard, where the value of a country's currency was backed by a specific amount of gold or silver.

The use of precious metals as the basis for currency meant that the money supply was limited by the availability of these metals. Governments often controlled the minting of coins and regulated their value to maintain a stable exchange rate. This approach aimed to ensure a favorable balance of trade, with exports generating more income in gold and silver than the cost of imports.

However, this system had limitations. It tied a country's economic growth to its ability to acquire more precious metals, often leading to competitive and protectionist trade practices. Additionally, it didn't provide much flexibility in responding to changing economic conditions. The reliance on precious metals as the foundation of currency also restricted the ability to adjust the money supply in response to economic fluctuations.

Overall, the currency system in mercantilism was closely intertwined with the pursuit of national wealth through trade and the accumulation of precious metals.

Here are some key points about currency in medieval Europe:

**1. Variety of Coins:** Different regions and rulers issued their own coins, leading to a wide variety of coin types, denominations, and designs. These coins were often made from precious metals like gold and silver.

**2. Value Fluctuations:** The value of coins could vary based on their metal content, weight, and issuing authority. This lack of standardized value made trade and commerce more complex.

**3. Local Currencies:** Local lords and communities sometimes issued their own forms of currency or tokens for trade within their territories. These local currencies were often used for day-to-day transactions.

**4. Barter Economy:** In many cases, especially in rural areas, barter and non-monetary exchange were common. Goods and services were exchanged directly rather than using coins.

**5. Minting Authority:** Lords and monarchs had the authority to mint coins, which gave them control over the money supply and allowed them to collect seigniorage—the difference between the cost of producing coins and their face value.

**6. Commodity Money:** In addition to metallic coins, commodities like grain, livestock, and other goods could also serve as forms of currency in local transactions.

**7. Trade and Exchange:** Despite the lack of standardized currency, trade did occur, often relying on the use of various coins and negotiation of values based on local standards.

**8. Guild Tokens:** Guilds in towns and cities sometimes issued their own tokens for use within their trades or industries. These tokens could be exchanged for goods and services within the guild's network. A guild was a medieval association of craftsmen or merchants, often having considerable power.

**9. Trade Fairs and Markets:** Trade fairs and markets were important events where people from different regions could come together to exchange goods and currency, helping to facilitate trade despite the currency diversity.

Overall, the medieval European monetary system was characterized by a lack of uniformity and standardization, with a mix of coins, local currencies, and other forms of exchange playing a role in the economy.

## D. Trade restrictions

Mercantilism was an economic policy aimed at maximizing a nation's wealth and power by promoting exports and limiting imports, with the goal of achieving a positive balance of trade and accumulating precious metals like gold and silver. Trade restrictions were a central component of this policy, with measures such as prohibiting colonies from trading with other nations and imposing tariffs on imported goods. England, the epicenter of the British Empire, introduced fiscal policies that discouraged colonists from buying foreign products and created incentives to buy only British goods. Programs like the Sugar Act of 1764 and the Navigation Act of 1651 resulted in a favorable balance of trade that increased Great Britain's national wealth. Mercantilism replaced the feudal economic system in Western Europe.

Some common trade restrictions in mercantilism included:

**1. Tariffs:** Governments imposed tariffs, which are taxes on imported goods, to make foreign products more expensive and less competitive in the domestic market. This encouraged consumers to buy domestically produced goods and boosted local industries.

**2. Subsidies:** Subsidies were granted to domestic industries to help them compete against foreign competitors. These financial incentives could take the form of direct grants, low-interest loans, or other support measures.

**3. Import Quotas:** Governments set limits on the quantity of specific goods that could be imported. This approach aimed to restrict the inflow of foreign products and protect local industries from competition.

**4. Export Promotion:** Policies were implemented to stimulate exports, such as providing incentives for companies to export goods, establishing trade missions, and negotiating favorable trade agreements.

**5. Colonial Trade Monopolies:** Colonial powers often established exclusive trading rights within their colonies, forcing colonies to trade only with the mother country. This ensured that the mother country benefited from the colony's resources and markets.

**6. Navigation Acts:** Some countries implemented navigation acts that required colonial goods to be transported on ships owned or built in the mother country. This aimed to enhance the country's shipping industry and control trade routes.

These trade restrictions were designed to create a trade surplus, where a nation exported more than it imported, resulting in an influx of gold and silver. While these policies were intended to promote national wealth, they also led to protectionism, trade conflicts, and sometimes strained international relations.

## E. Wealth and Wage

### E.1 Wealth

In mercantilism, wealth was primarily understood in terms of the **accumulation of tangible assets,** particularly precious metals like **gold and silver.** The prevailing belief was that a nation's economic strength and power were directly tied to the amount of these precious metals it possessed. This view of wealth heavily influenced economic policies and practices during the mercantilist era.

Key features of wealth in mercantilism included:

**1. Accumulation of Precious Metals:** The main measure of a nation's wealth was the amount of gold and silver it could acquire. Countries sought to maintain a positive balance of trade, where exports exceeded imports, to ensure a net inflow of precious metals.

**2. Trade Surpluses:** Governments encouraged the export of domestically produced goods while limiting imports. This strategy aimed to create a trade surplus, resulting in a flow of precious metals into the country.

**3. Colonial Exploitation:** Colonies were often viewed as sources of valuable resources and markets for finished goods. Colonizing powers aimed to extract wealth from their colonies by controlling trade and resources.

**4. Focus on Production and Industry:** Industrial and agricultural policies were oriented towards producing goods that could be exported for a profit. The growth of industries and the creation of jobs were seen as ways to increase a nation's wealth.

**5. Protectionist Measures:** Trade restrictions, tariffs, and subsidies were used to protect domestic industries and ensure that locally produced goods had a competitive advantage over imports.

**6. Mercantile Policies:** Governments played an active role in economic affairs, with the belief that centralized control could optimize wealth accumulation. This could involve interventions to promote certain industries, regulate trade, and control the money supply.

It's important to note that while mercantilism focused on tangible wealth, modern economic thinking has evolved to consider a broader range of factors, including human capital, technological innovation, and overall economic well-being. The mercantilist approach had limitations, often leading to trade conflicts and a narrow focus on accumulating precious metals at the expense of other aspects of economic development.

### E.2 Wage

In mercantilism, wages were viewed in the context of **labor's contribution to economic growth and the accumulation of wealth for the nation.** The prevailing belief was that higher wages could lead to increased production, which in turn could contribute to a stronger economy and greater national wealth. However, this perspective on wages was often influenced by the broader mercantilist goals of trade balance and accumulation of precious metals.
Key points regarding wages in mercantilism include:

**1. Labor as a Factor of Production:** Labor was recognized as a crucial factor of production in mercantilist economic thought. The emphasis was on utilizing labor to produce goods that could be exported to generate a trade surplus and accumulate wealth.

**2. Labor's Role in Export-Oriented Production:** Mercantilist policies encouraged domestic industries to produce goods for export. Higher wages were seen as a means to incentivize workers to be productive and produce goods that could be sold abroad.

**3. Production and Economic Growth:** Mercantilist thinkers believed that higher wages could lead to increased production, which in turn could contribute to economic growth. A growing economy was seen as essential for accumulating wealth and power.

**4. Labor Regulations:** Governments often intervened in labor markets to ensure a stable and disciplined workforce. Regulations could include wage controls, apprenticeship rules, and restrictions on labor mobility.

**5. Protectionist Measures and Wages:** The focus on export-led growth could sometimes lead to policies that protected domestic industries, potentially affecting wages. Governments might implement tariffs and subsidies to support industries, impacting the labor market dynamics.

**6. Colonial Labor Exploitation:** In colonial contexts, labor was often exploited for the extraction of resources and agricultural production. Labor practices in colonies could differ from those in the mother country.

It's important to note that while mercantilism acknowledged the importance of wages and labor, its economic framework was primarily geared towards achieving national wealth through trade and the accumulation of precious metals. As economic theories evolved, subsequent economic theories, such as classical economics and later theories, provided more comprehensive and nuanced perspectives on labor and wages.

The following table gives us a brief idea of a small portion of mercantilist wage and wealth order with empirical evidence.

**Table: Social classes in Stockholm 1715, distribution, and average wealth in *daler kopparmynt*** (Swedish copper coins of medieval ages).

| | Social Class | Share (%) | Average Wealth (dkm) | Multiples of the average |
|---|---|---|---|---|
| 1 | Nobility | 2.2 | 38,868 | 40.48 |
| 2 | Higher civil and military servants | 7.3 | 4,587 | 4.78 |
| 3 | Merchants | 3.6 | 35,022 | 36.47 |
| 4 | Artisans and middle class | 20.5 | 1,659 | 1.73 |
| 5 | Soldiers | 8.6 | 84 | 0.09 |
| 6a | Workers and lower-ranking civil servants | 24.2 | 146 | 0.15 |
| 6b | Maids | 23.8 | 45 | 0.05 |
| 6c | Male unskilled servants | 5.5 | 63 | 0.07 |
| 6d | Other servants | 1.7 | 123 | 0.12 |
| 7 | Poor | 0.5 | 21 | 0.02 |
| 8 | No title | 2.1 | 459 | 0.48 |
| | TOTAL | 100 | 960 | 1.00 |

## F. Taxation

Taxation in mercantilism was a way of generating revenue for the state and supporting its economic policies. Mercantilism was an economic system that aimed to increase the wealth and power of a nation by maximizing its exports and minimizing its imports

Some of the taxation methods used by mercantilist governments were:

- **Tariffs:** These were taxes imposed on imported goods to make them more expensive and less competitive than domestic products. Tariffs also provided income for the state and encourage domestic production
- **Subsidies:** These were grants or payments given to domestic producers or exporters to lower their costs and increase their profits. Subsidies also helped to create monopolies or cartels that could dominate the market and charge higher prices
- **Navigation Acts:** These were laws that restricted the trade of colonies or foreign countries with other nations. Navigation Acts ensured that the trade benefits would flow to the mother country and its merchants, rather than to its rivals or competitors
- **Stamp Acts:** These were taxes imposed on legal documents, newspapers, pamphlets, and other printed materials in the colonies. Stamp Acts were intended to raise revenue for the British government and assert its authority over the colonists

Taxation in mercantilism was often met with resistance or opposition by the people who had to pay them, especially in the colonies. For example, the American Revolution was partly triggered by the colonists' resentment of the British taxation policies, such as the Stamp Act and the Tea Act. The colonists protested against these taxes with slogans like "*No taxation without representation*" and "*Taxation is tyranny*."

## G. Land Banking Scheme

Mercantilists' ideas regarding money gave rise to the establishment of Land Banking Schemes. Land Bank Schemes were introduced by Chamberlen and Barbon.
Land banking is a practice of buying and holding land for future development or sale. Land banking schemes are often proposed as a way of creating money or credit by using land as collateral.

Two of the most prominent land bank proponents in the late 17th century were Hugh Chamberlen and Nicholas Barbon. They both had different ideas on how to use land as a basis for issuing money and stimulating the economy. Dr. Hugh Chamberlen's scheme involved creating a bank that would lend money on the security of land, at a low interest rate of 4%. The bank would issue notes that would circulate as money and be backed by the value of the land. The bank would also have the power to create new notes as needed, without being limited by the supply of gold and silver. Chamberlen argued that this would increase the money supply, lower the interest rates, encourage trade and industry, and raise the value of land. Nicholas Barbon was a builder, speculator, and insurance pioneer who had a different vision of land banking. He proposed a land bank scheme in 1695, which he called *"A Discourse Concerning Coining the New Money Lighter."* His scheme involved reducing the weight of the existing coins by 25%, which would effectively increase the money supply by 33%. He argued that this would stimulate trade and commerce, lower the interest rates, raise the prices of goods and services, and increase the profits of merchants and manufacturers. He also argued that this would benefit the landowners, as their rents would increase in proportion to the prices.

Land banking schemes by Chamberlen and Barbon were innovative but controversial ideas that aimed to create money or credit by using land as collateral. The schemes never took off as they prompted a risk of inflation and harm foreign exchange trading.

## H. Decline of Mercantilism

### H.1 Economic views of Physiocrats

Physiocracy was one of the first well developed economic theories. It is a word derived from Greek meaning "Government of Nature" which originates in France in the 18th century. The main belief of this movement was that labor is the sole source of value. The physiocrats believed- "Only agricultural labor creates value of the product, all other industrial and non-agricultural labor are in fact unproductive appendages of agricultural labor." This line of thought set them apart from the mercantilist view of economic growth.

One of the leading physiocrats was François Quesnay. His publication of the "Tableau économique" in 1759 laid the foundation of physiocracy. Quesnay divided the economy with three main economic movers. They are-

**The Proprietary class:** The landowners, they were to be paid the rent for land used in production.

**The Productive class:** The agricultural labors and farmers who directly produce the product in their farmland.

**The Sterile class:** The artisans and merchants who sell the agricultural product to all others bought from the farmers.

Quesnay indicated the way how value or money circulates through the economy in his model. His thoughts were mostly close to the Laissez-faire we know today, which was influenced mostly by the Chinese belief – “The way of Nature.” The physiocrats believed that there was a “natural order” of things and humans should find a way to live in it together. They were a strong believer of private property and individualism, and advocated the proper payment for each faction of the economy, especially the landlord. This is one incline of the physiocrats towards capitalism.

They were also aware of diminishing returns and concluded that because of this, wealth cannot be infinite. They also recognized the effect of capital investment. They thought that farmers needed investment of capital in order to start the production process. They recognized the need for capital for sustenance during the production process, also promoted using each year’s profit to increase production. They also acknowledged the opportunity cost and risks involved in capital investment.

The circulation of value has a few steps that are simplified as such-

I. The farmer produces a certain amount of food, a portion of which he keeps for his own sustenance, labor cost, livestock etc. He sells off the rest of the food for money. From the money received, he keeps a portion for himself and his labors to buy non-agricultural goods. The rest of the money is his net profit.
II. The artisan produces his craft which is worth something in money. To produce this craft, he requires sustenance, raw materials and imports from merchants and his own craft. The craft he produces earns him as much money to buy all the aforementioned things minus his craft. He keeps the cost of his craft to produce next year’s craft, leaving him zero profit.
III. The landlord is purely a consumer. He earns the amount of net profit the farmer has as his rent for land he provides. He uses the money to buy food from the farmers and crafts from artisans. Quesnay refers to him as the main driver in the economy, as his desire to consume keeps the economy running.
IV. The merchant uses the money he receives from artisans to buy food and takes some of it to another country to buy foreign goods.

The Physiocrats were among the first to oppose the Mercantile view of the economy. They were based in France initially and the ideas were also a reflection of the French economy of that period. France used to be mainly an agricultural country and almost all it exported and imported were agricultural goods. Therefore, there was not much to go for the mercantilist economy. Eventually many economic factors had changed due to this thought of school. A flat tax code was introduced, and government intervention was discouraged in the grain market.
Physiocracy had left a significant influence on economic thinkers of later periods, such as- **Adam Smith, David Ricardo, John Stuart Mill, Henry George.** Especially Henry George's movement for single tax was a shadow left by the Physiocracy movement. Most importantly, Physiocratic view of Natural ways, praise of farmers and looking down upon artificial life of cities and individualism left a mark on both Capitalist and Communist views later to come.

### H.2 End of Mercantilism

Mercantilism was an economic theory and practice that dominated European economic thought and policy from the 16th to the 18th centuries. It emphasized the accumulation of wealth, particularly in the form of precious metals like gold and silver, as a measure of a nation's economic strength. Mercantilist policies aimed to promote exports, discourage imports and establish colonies to secure access to raw materials and markets.
However, over time, mercantilism declined for several reasons:

**1. Rise of Free Trade Ideas:** Economists like Adam Smith, considered the father of modern economics, challenged mercantilist ideas in the late 18th century. Smith's work, particularly his book "The Wealth of Nations" (1776), advocated for the benefits of free trade, arguing that nations could benefit more by specializing in what they were most efficient at producing and engaging in voluntary exchange.

**2. Industrial Revolution:** The Industrial Revolution, which began in the late 18th century, brought about significant technological advancements and changes in production methods. This led to a shift in economic focus from just accumulating precious metals to focusing on increased production and consumption of goods. As economies became more industrialized, the emphasis on exports and imports of raw materials diminished.

**3. Colonial Independence:** Many colonies established during the mercantilist era gained their independence in the 18th and 19th centuries. This reduced the ability of colonial powers to control trade and resources, weakening the colonial trade systems that were a central aspect of mercantilism.

**4. Globalization and Improved Transportation:** Advances in transportation, such as steamships and railways, facilitated the movement of goods across longer distances. This made it more difficult for nations to control trade routes and maintain the strict trade regulations that characterized mercantilism.

**5. Development of Economic Theories:** As economics continued to evolve, various economic theories emerged that challenged the central tenets of mercantilism. These theories, including classical economics and later neoclassical economics, emphasized factors such as consumer welfare, efficient resource allocation, and the role of supply and demand in shaping economies.

**6. Shift in Economic Focus:** With the growth of capitalism and the rise of market economies, the focus of economic policies shifted from the mere accumulation of wealth to promoting economic growth, innovation, and the overall well-being of citizens.

**7. Political and Geopolitical Changes:** The rise of new nation-states and changing political dynamics contributed to shifts in economic policies. As political power and influence evolved, nations began to adopt more diverse economic approaches that went beyond the rigid mercantilist principles.

In summary, the decline of mercantilism was driven by the rise of new economic ideas, technological advancements, changing global political landscapes, and the emergence of more complex and integrated market economies. These factors collectively led to abandoning the strict mercantilist policies that had dominated earlier centuries.

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